

NextEra Energy, Inc.

NEE NYSE

Buy	\$88.39 ▼ 0.09%	12M Price Target \$105.00	52-Week Range \$69.24 – \$98.75	Market Cap \$184.35B
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NEE: AI Power Demand Meets Utility Stability Sweet Spot

WHAT HAPPENED

- NEE basically flat overnight (\$88.39, -0.09%) but sitting near the top of its 52-week range (65% of range) — the interesting signal is that OilPrice ran a piece titled "Why the AI Boom Is About to Break the U.S. Power Grid." That's the narrative that's been quietly bidding up NEE for months: data centers need MASSIVE electricity, and NEE is the biggest renewable power builder in America.
- Options flow is oddly bearish though — put/call ratio of 2.40 (traders buying 2.4 puts for every call, meaning they're betting on downside) with an unusual \$93 put trade. Someone's hedging or expecting a near-term pullback even as the fundamental story stays strong.

WHY IT MATTERS

Here's the setup: NEE is the intersection of two massive tailwinds — AI power demand (structural, decade-long) and the Inflation Reduction Act's renewable tax credits (already law, hard to fully repeal). The bearish options flow tells me short-term traders are worried about a pullback near resistance (\$98 highs), but that's noise vs. the signal. What matters is that every new data center announcement from Microsoft, Meta, or Amazon is effectively a demand catalyst for NEE — they don't need to win a specific contract, they just need the overall grid to need more juice, which it desperately does. The stock at 65% of its 52-week range with this backdrop suggests there's still room to run before it gets frothy.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration has been chipping at IRA renewable tax credits, but the recent budget bill kept most utility-scale solar and wind credits intact through 2027-2028 — that's a HUGE win for NEE because their project pipeline was built assuming those credits. Also watch FERC (Federal Energy Regulatory Commission) — there's a Maryland complaint against RTO adders (basically fees utilities collect for being part of regional grids) that could set precedent. If FERC gets more aggressive on utility returns, that's a modest headwind for NEE's regulated Florida business (FPL). Net-net: policy environment is friendlier than feared six months ago.

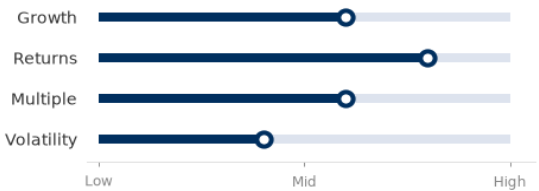
IS IT EXPENSIVE?

Trading around 24x forward earnings — meaning investors are paying \$24 for every \$1 of expected profit next year. That's a premium to boring utilities (which trade at 16-18x) but a discount to pure AI plays (30x+). The premium is justified IF you believe the AI power demand story converts into real megawatts sold — and honestly, the physics doesn't lie, data centers need power somewhere. Fair, not cheap, not crazy.

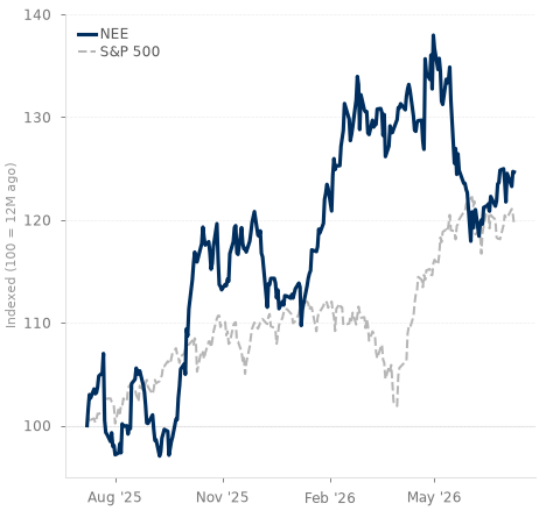
Key Data

Price (USD)	\$88.39
12M Price Target	\$105.00
Upside / (Downside)	+18.8%
Market Cap	\$184.35B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.05
Fwd P/E	24.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$89.00	\$82.00
6 Months	\$102.00	\$94.00	\$78.00
1 Year	\$115.00	\$105.00	\$75.00
2 Years	\$140.00	\$120.00	\$70.00
5 Years	\$180.00	\$145.00	\$65.00
10 Years	\$260.00	\$195.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.83% over 5 days) is ripping on geopolitical premium and AI power demand. Utilities are quietly grinding higher (+0.81%) — the smart-money "AI shovels" trade.

COOLING OFF: Tech is DOWN 6% in 5 days — that's a big rotation signal. Money is leaving hyped AI software names and moving into the "picks and shovels" — the power, cooling, and infrastructure that AI actually needs.

ROTATION WATCH: Classic late-cycle rotation from growth (tech) into defensive-with-a-catalyst (utilities/energy). NEE is the poster child for this trade because it's a utility with an AI growth kicker.

RELATED PLAY: If you like this thesis, look at Vistra (VST) and Constellation Energy (CEG) — they own nuclear plants that hyperscalers are literally signing dedicated power deals with. Also GE Vernova (GEV) for the turbine equipment angle.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Winning because Microsoft signed a 20-year deal to restart Three Mile Island for their data centers — nuclear is having its moment.
- VST (Vistra): Similar story, gas + nuclear fleet directly powering data center growth in Texas.

NEE CONTEXT: NEE has lagged the pure-play power names (CEG, VST are up 40%+ YTD) because it's a bigger, slower ship with the regulated utility drag. But that's also why it's less risky — if the AI power trade wobbles, NEE has FPL's guaranteed returns to fall back on. It's the "conservative version" of the trade.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid buy but not table-pounding. The setup is good, valuation is fair, and the AI power demand story is real, but the stock has already moved from \$69 to \$88 so the easy money is made.

POSITION SIZE: 3-5% of portfolio. This is a core holding, not a swing trade — treat it like a dividend-paying growth compounder.

ENTRY POINTS: I'd add on pullbacks to \$84-87. If we get a rate scare that takes it under \$80, back up the truck.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q3 earnings (usually October) where they typically update the renewable project backlog — that's when the AI power demand shows up in real numbers.

WHEN TO BAIL: If Congress passes a full IRA repeal (unlikely but watch it), or if the 10-year yield breaks above 5% and stays there, I'm trimming. Also out if FPL loses its Florida rate case badly.

HEDGING: Simple version — don't put more than 5% here, and make sure you own some shorter-duration assets (cash, T-bills) so a rate spike doesn't wreck your whole portfolio. If you want to get fancy, buying puts on a solar-only ETF (TAN) hedges the renewable policy risk while keeping NEE's utility upside.